MANAGING ASSETS

Now, we move ahead with the asset side of the growth system. Before we get started with these, let us revisit two common mistakes people make when dealing with assets.

PUTTING EXCESS MONEY IN EMERGENCY NEEDS

The first mistake is to put many years of their income in emergency-related assets. These assets are generally very liquid and earn a low but stable return. People find these psychologically more peaceful and as a result, but many years worth of income in these assets. We have already seen that 8-9 months of income is more than enough to meet emergency requirements. By putting excess money, we are earning a much lower return for no reason.